Tax incentives: higher marginal take-home pay

Before 6 Jan 2024: NICs 12% → retain 68p per extra £1

From 6 Jan 2024: NICs 10% → retain 70p per extra £1

From 6 Apr 2024: NICs 8% → retain 72p per extra £1

Combined increase in marginal take-home pay: 5.9%

Source: Author's calculations using HMRC (2024) rates. Income tax fixed at 20%; main NICs band; other deductions excluded.

Labour supply: substitution and income effects

Substitution effect

Higher net wage
↓
Leisure becomes more costly
↓
Incentive to work more

Income effect

Higher disposable income
↓
Greater demand for leisure
↓
Incentive to work less

Net response

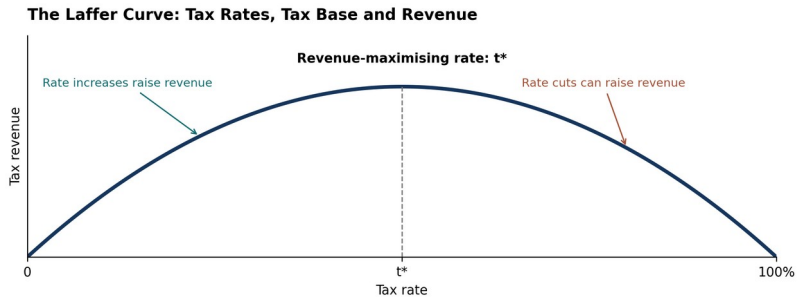
Depends on the relative strength of both effects.

Two margins:
- Entering employment
- Adjusting working hours

Source: Meghir and Phillips (2010). The extensive margin concerns participation; the intensive margin concerns hours worked.

Laffer curve: behavioural gains and fiscal effects

Tax rate × taxable base



Work incentives can expand the taxable base.

OBR forecast: March 2024

98,000 FTEs
Additional labour supply

≈20% of static fiscal cost recovered through behaviour

Sources: Hemming and Kay (1980); OBR (2024), paras. 3.9–3.10. Laffer curve: theoretical illustration; OBR figures: projections.